

Because the end user desires a finished product that uses its ingredient, it allows the ingredient to charge a premium, which the finished product passes on to the end user.

Another critical benefit for the ingredient brand is not being substituted. Once the finished product starts relying on the ingredient to make a sale, it reduces the ability of the finished product to substitute the ingredient with another component. Some might argue that this is even more important than charging a premium, because it ensures business continuity.

Be the first mover

One critical thing for a component to become an ingredient brand is that it needs to be first. The first player tends to become the market leader and remain so, provided it does not make a hash of its marketing efforts.

The first mover usually is seen as the expert by the end user. Players that follow—yes, they will follow—are seen as me-too players.

The how

Let us now look at how ingredient branding is done, by looking at cases of others who have done it well.

Intel. This is the case of the cen-

tury with regards to ingredient branding. It is one of the most successful cases ever.

We go back to before Intel was known to the world. By 1990, Intel had launched its 386 chip, which was being supplied to PC manufacturers like Compaq, IBM and HP. But, things started to turn, and Intel started losing market share. It discovered the reason to be Cyrix, another chip maker. Cyrix was reverse-engineering Intel's chip and selling it for half the price. PC manufacturers were also willing to replace Intel with Cyrix. After all, who would not if it meant getting similar quality at a lower price.

But Intel was ambitious. The product it was fighting was a me-too one, and it did not want to battle it out based on price. The decision Intel took changed the computer industry forever.

It did two key things. The first was a business model decision. Intel chose to work with its customers differently. It decided to partner with them. This was not just in name, like many customer-centric programmes. Neither was it just smoke and mirrors.

Intel put its money where its mouth was, and took a huge risk. It decided to part-fund its customers' marketing efforts. In exchange, its customers put their Intel Inside logo on

the machine and carton as well as in advertising. This was a mutually-beneficial relationship to build the PC market.

The second was an education campaign with the end user. Intel realised that for the end user what is inside the box

was unknown, not understood and probably too technical. So, it decided to educate the end user on the importance of the processor. The campaign it developed had two objectives. The first was to position the processor as the heart of the PC that is responsible for the speed of the PC. The second was the compatibility of the processor with a multitude of software.

Both these efforts helped build a brand for Intel with the end user, thereby creating pull for the brand.

Takeaway. Intel made the end user its target audience. Even though the end user was not buying a processor, it was buying a computer. The education campaign usurped the computer. By calling it the heart of the PC and saying it was responsible for the speed of the PC, it made itself the most critical component of the PC. And over time, more important than the brand of the PC.

Intel did not sign any exclusivity agreement with any one PC manufacturer. That ended up reducing differentiation between PCs. IBMs, HPs and Compaqs all had Intel processors. Because of that, the focus shifted from the PC to the processor.

The brand soon started charging 400 per cent premium over Cyrix. It got back the market share it had lost. Overall, Intel has dominated the PC market ever since.

Dolby. When we think of Dolby, we think of incredible sound. It is everywhere, including films, TVs, cellphones and so on. But there is a lot to learn about how a company can get to this point—the things it did right and what it did not.

Ray Dolby, who died in 2013, was an engineer by profession who dabbled in sound technology even before

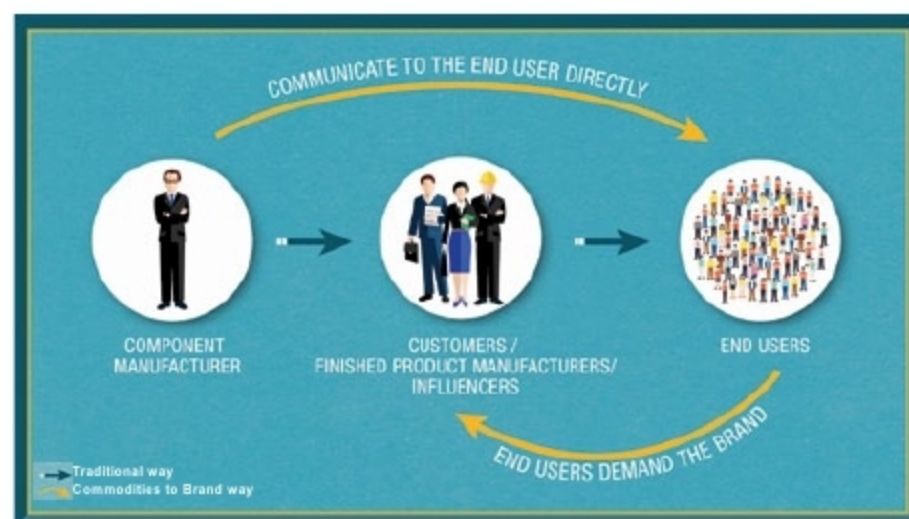


Fig. 1: Traditional versus Commodities-to-Brand way



Fig. 2: Marketing efforts by Intel (a) Still from the early 1990s' Intel Inside commercial, (b) HP CPU with Intel Inside logo and (c) HP desktop carton with Intel branding



Fig. 3: Campaign by Intel